SAP CAPSTONE PROJECT

Hire-to-Retire (H2R) — Employee Lifecycle in SAP HR

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Topic:	Hire-to-Retire (H2R) – Employee Lifecycle in SAP HR

Title

Hire-to-Retire (H2R): End-to-End Employee Lifecycle Management using SAP Human Resource (HR) Module

Problem Statement

The proper management of employee data is quite a challenge in current business organisations since many businesses use different systems or even manually manage their data when performing activities like hiring, payroll, appraisals, and offboarding employees.
This fragmented approach leads to:

- Data inconsistencies across departments
- Payroll errors and delays
- Lack of transparency in performance tracking
- Difficulty in maintaining employee records
- Inefficient HR operations

With increasing growth within organisations, such problems become more complex and have an effect on the efficiency of the organisation.

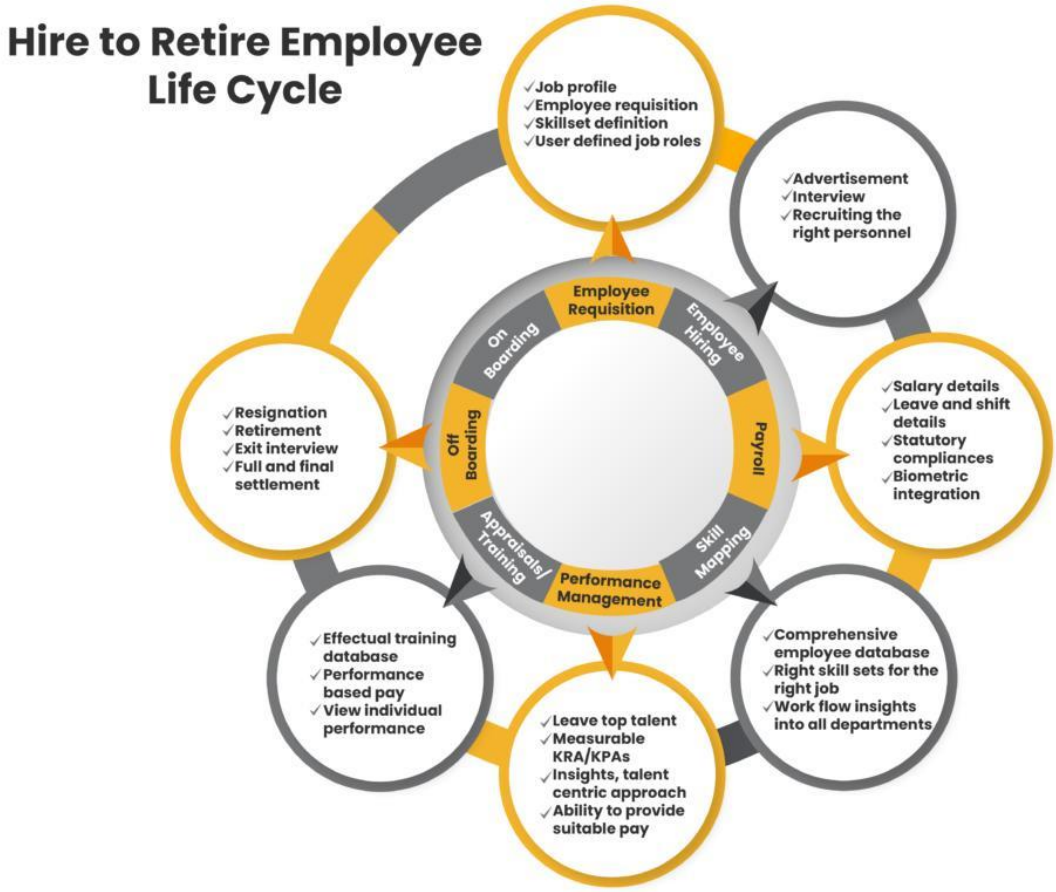
Hence, there arises a requirement for a **centralised and integrated system** that can manage the entire employee lifecycle seamlessly.

Solution & Features

SAP HR (Human Capital Management) provides a **comprehensive solution** to manage all HR processes within a single system.

SAP T-Codes:

Step	Activity	SAP T-Code
Recruitment	Manage applicants	PB10 / PB20
Hiring	Create employee	PA40
Onboarding	Maintain employee data	PA30
Payroll	Process salary	PC00_M40_CALC
Performance	Appraisal management	PHAP_ADMIN
Exit	Employee separation	PA40



The Hire-to-Retire (H2R) process integrates all stages of employee management, including:

1. Recruitment & Hiring Stage

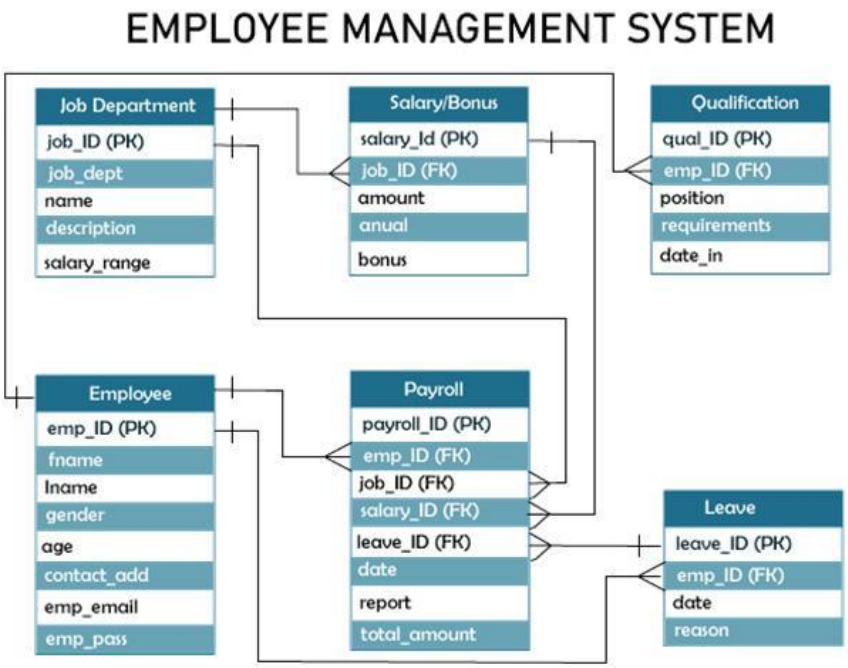
SAP HR allows organisations to:

- Maintain a structured database of applicants
- Track candidate progress through different hiring stages
- Automate communication (interview scheduling, notifications)
- Ensure standardised hiring procedures

2. Employee Onboarding

Master data for employees, role and department assignments, and salary structuring.
HR module capabilities in SAP include:

- Storage of employee information centrally
- Effective creation and maintenance of employee master files
- Integration with other modules (like Finance and Payroll)
- Implementation of standardised employee onboarding procedures



3. Payroll Management

The payroll is an essential HR process, dealing with issues such as salary calculation.
Payroll processing using SAP involves the use of:

- Correctly calculating salaries based on defined criteria
- Observing tax requirements
- Generation of payslip statements
- Integrating payroll data with SAP FI (Financial Accounting)

4. Performance Management

Monitoring the performance of employees as well as helping in with promotions and evaluations.
Features provided by SAP HR include:

- Monitoring the performance of the employees
- Maintaining their past performance data
- Helping in evaluation and promotion
- Matching the goals of the employees with organisational goals

5. Employee Data Management

The accurate management of employee data is crucial in ensuring that all HR functions are effectively conducted.
SAP offers:

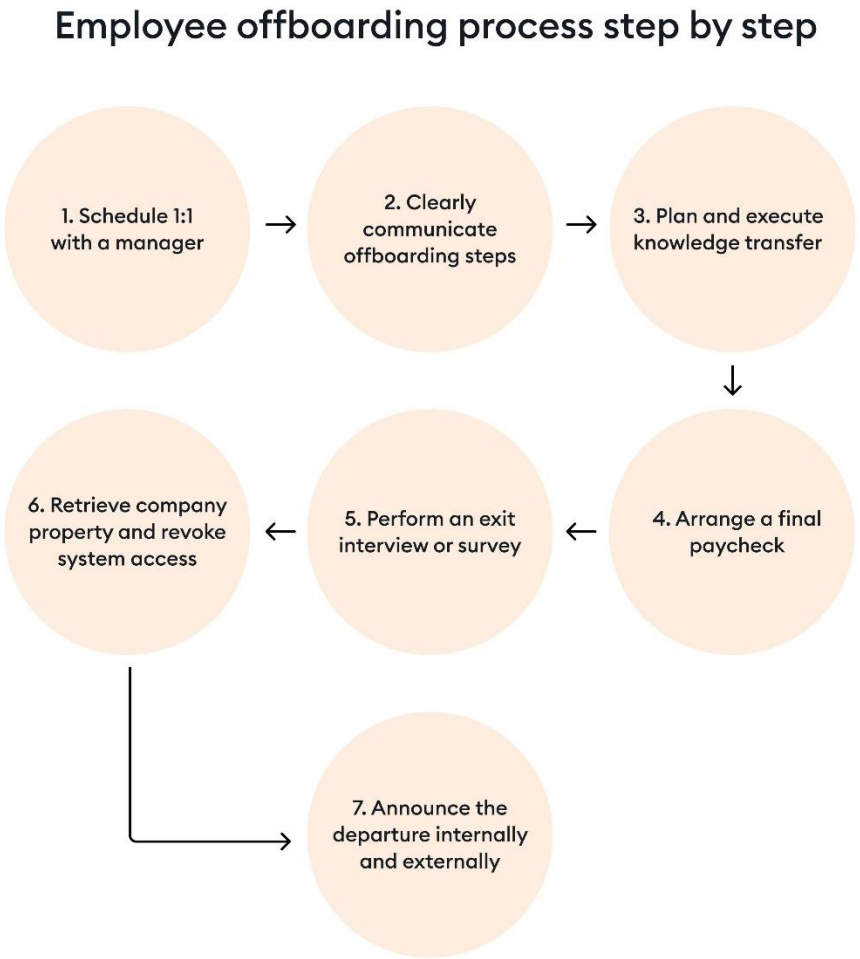
- Centralised storage of all employee data
- Easy search and update of the data
- Secure storage of data with proper security measures
- Seamless integration of the data in all HR functions

6. Exit / Retirement Management

This stage handles the employee's departure from the organisation.
SAP HR supports:

- Structured exit workflows
- Accurate final settlement calculations

- Record maintenance for compliance
- Smooth knowledge transition and documentation



Tech Stack

Technology	Description
SAP S/4HANA / SAP ECC	ERP platform used for business processes
SAP HR (HCM Module)	Handles employee lifecycle management
SAP FI	Integrates payroll with financial accounting
SAP GUI	Interface used to access SAP system
Database (SAP Tables)	Stores employee and payroll data

Unique Points

- Complete **end-to-end employee lifecycle coverage**
- Centralised database eliminates data redundancy
- Real-time integration with finance module (SAP FI)
- Automated payroll reduces human errors
- Improves employee tracking and transparency

- Scalable system suitable for large organisations
- Enhances decision-making through structured data

Future Improvements

- Integration with **AI-based recruitment systems**
- Implementation of **Employee Self-Service (ESS) portals**
- Mobile-based HR management applications
- Advanced analytics for workforce planning
- Integration with external job portals (LinkedIn, etc.)
- Automation of performance reviews using AI

Conclusion

The H2R model in SAP Human Resources offers a comprehensive approach for managing the entire employee cycle from hiring until retirement. This can be accomplished by integrating all the data related to the personnel and automation of HR functions such as payroll processing and performance management, thus ensuring greater accuracy and efficiency.

This process also reduces the probability of errors and ensures consistent coordination of HR and financial activities. In essence, this essay shows how SAP Human Resources helps in the efficient management of employees within organisations.

Declaration

In accordance with the aforementioned declaration, I hereby certify that this work is my own original effort. This assignment is not plagiarized from any peer, tutor, or online source.

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